

Global Strategy

Rates Map - Reality Checks on Fed, AI and Transitory Pricing

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Regime change at the Fed

Last [Friday](#), Chair Warsh said that he would fill the role of Fed chair "with energy and purpose, just the way Chairman Greenspan did." [Chair Warsh](#) has been explicit in previous comments on his desire for "regime change" at the Fed, with decisions made "in the room" and not pre-announced to markets.

Bye bye to Bernanke's comfort blanket

Investors should pay attention as this single philosophical shift could remove some of the predictability that investors have come to expect from core bonds markets. This could reprice rates volatility higher, not episodically but structurally. This view is not new. [Former Fed Chair Bernanke](#) argues that a less gradualist approach to in favour of what has called a "cold turkey" approach to central banking could lead to higher long-term rates and more volatility. It could also lower the ability of the Fed to affect long-term rates and thus influence economic behaviour.

Bond market checks on AI and German stimulus

The title of our 2026 fixed income outlook was "[Reality checks on AI and German stimulus](#)." [Investors](#) are eager for more clarity on German budgets for 2027-28 given deteriorating approval ratings and [slow progress on infrastructure spending](#). We remain long 10y bonds with a target of 2.75%.

Bond market's AI Verdict: Not yet

We see more optimism on the AI outlook after the earning season. But there is an uncomfortable truth for AI bulls. According to our [research](#), the bond market does not believe the productivity story yet. Across more than 30 major AI model releases since 2023, US yields did not move meaningfully on release dates. This tell you that bond markets see AI developments as gradual diffusion rather than a transformative shock. We have also pointed to some structural headwinds. Energy-consuming data centers, chip bottlenecks, safeguard concerns, and a labour market that does not retrain overnight means that AI is more likely to be inflationary than disinflationary as the ECB's Schnabel has flagged. Bond markets could remain doubtful until the productivity gains show up in primary surpluses in a durable, measurable way, .

Inflation: Transitory or stubborn?

Elevated inflation prints are coming (see [Figure 14](#) and [Figure 15](#)) but 1y1y inflation swaps at 2.60% yoy in US and 2.16% yoy in the euro area signal that markets are not panicking ([Figure 4](#)). In fact, 5y euro area inflation breakevens are approaching levels where holding some exposure to upside risks to medium-term inflation is becoming more attractive ([Figure 5](#)).

Front-end trades - Extend target on long 1y1y SEK vs US

On 5 May, we opened a long 1y1y SEK vs USD given the persistent inflation undershoots and relatively soft labour market in Sweden versus a drift up in US rate expectations. We previously moved the target to -180 bps (from -165 bps) but think this trade can now reach -200 bps (with a new stop at 170 bps). We continue to receive July vs June ECB, Sep vs July BoE, and 1y1y SEK vs US. We are also still paying Jun '27 vs Jun '28 Euribor.

Curves - US flattening pressure but steepeners in Japan and UK

We closed our US 5s30s steepener in Sep '25 and at the risk of sounding like a broken record, steepeners may take time to work with a less gradualist Fed and the US growth/inflation profile in Q2. This could have implications for other bond markets and we

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continue to monitor spillovers closely but we still see scope for curve steepening in Japan and the UK.

Recent Notes

[Global Index Projections for end-May \(22 May\)](#)

[Close BoE June receiver at 3 bps, Open BoE Sep'26 at 14 bps \(20 May\)](#)

[Rates and risk after 60 bps real rate moves in 60 days \(20 May\)](#)

[Rates Map - The real message of global yield curves \(18 May\)](#)

[Weekly Supply - Deep dive on Euro issuance \(15 May\)](#)

[Client views - Oil vs Fed vs ECB vs Carry vs Political risk \(14 May\)](#)

[UK curve: Higher and steeper for longer \(12 May\)](#)

[2026 Outlook – Iran conflict meets hawkish US \(11 May\)](#)

[AI releases did not lower rates or reduce fiscal risks in '25-26 \(8 May\)](#)

[Not long 10y UK at 4.94% - Rate uncertainty, politics and oil \(7 May\)](#)

[Receive 1y1y SEK versus USD \(5 May\)](#)

[AI - No clear path to lower rates \(5 May\)](#)

[Receiving July ECB at 19 bps, still short June '27 vs June '28 Euribor \(30 Apr\)](#)

[US Refunding - Revising expected '26 coupon supply slightly lower \(29 Apr\)](#)

[Receive BoE June Meeting at 19 bps \(29 Apr\)](#)

[Warsh vs Bernanke Fed - More volatile rates ahead? \(28 Apr\)](#)

Summary of views

Figure 1: Open Trades

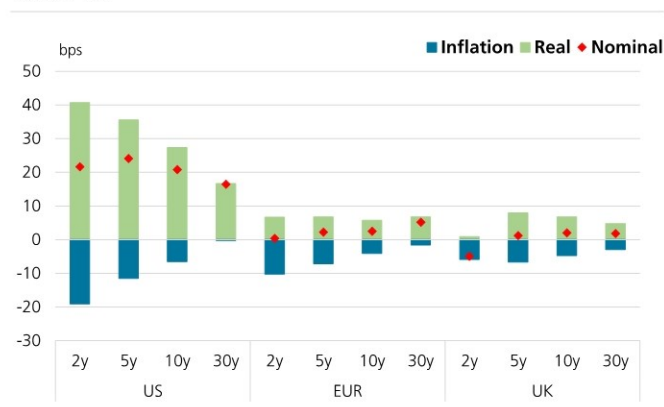
Market	Position	Entry Date	Entry Level	Current Level	Target	Stop	Gain (bps)
USD	Long 2s7s10s SOFR butterfly	27-Mar-26	-8	-4	-40	10	-4
EUR	Receive July vs June ECB	30-Apr-26	19	7	0	28	13
EUR	Long 10y EU vs Germany	27-Mar-26	35	32	20	45	3
EUR	Long 10y bunds (%)	26-Mar-26	3.00	2.96	2.75	3.25	4
EUR	Pay June '27 Euribor vs receive June '28 Euribor	21-Mar-26	-3	-9	-30	-10	6
GBP	Receive Sep vs July BoE	20-May-26	14	13	0	28	1
GBP	Long nominal 5s10s steepener	12-May-26	45	43	65	30	-2
AUD	Receive 5y2y (%)	14-Jan-26	4.83	4.91	4.40	5.10	-8
JPY	Long 6m fwd 2s10s steepener	09-Feb-26	64	96	100	55	32
SEK VS USD	Receive 1y1y SEK vs USD (%)	05-May-26	-1.31	-1.84	-2.00	-1.70	59

Source: Bloomberg, UBS. Note: Target extended and stop revised for SEK vs USD trade on 18-May-26

The Map is our summary on the rates outlook. We would like to thank Deepak Joy and Mehak Bhalla, our research support service professionals in our Hyderabad Research BSC, for assisting in preparing this research report.

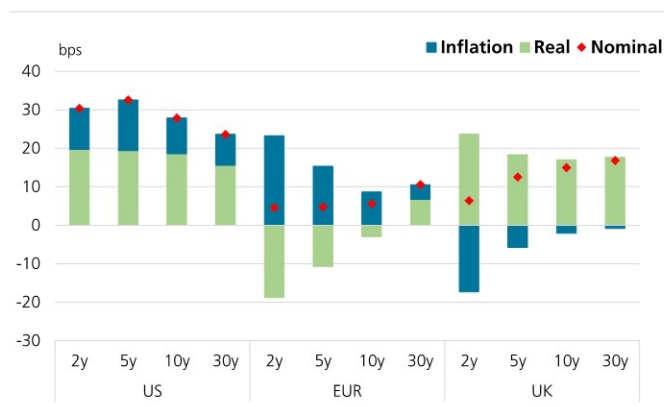
Charts of the week

Figure 2: Month-to-date nominal and real moves in May '26 so far



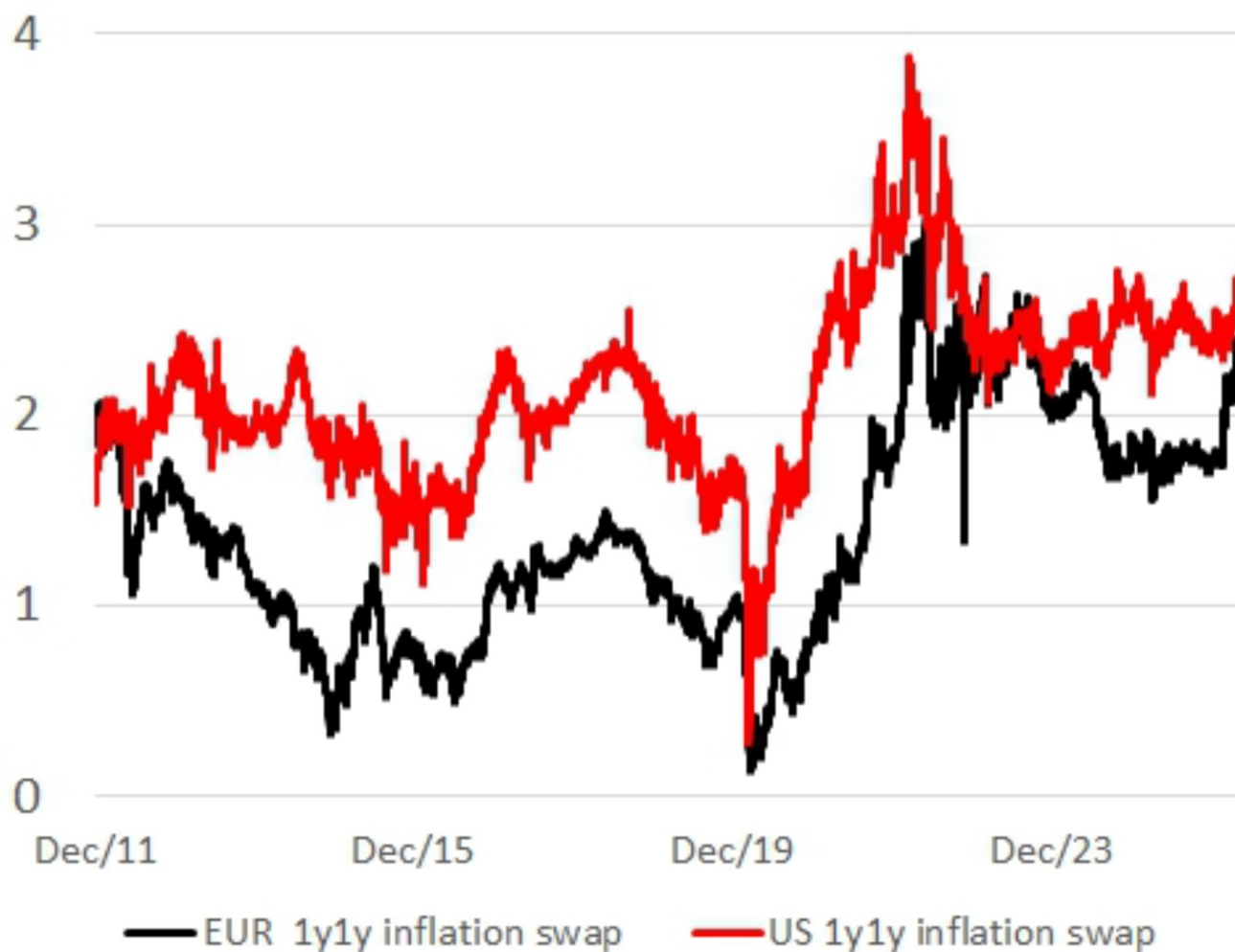
Source: Bloomberg, UBS

Figure 3: Apr- till now nominal and real moves



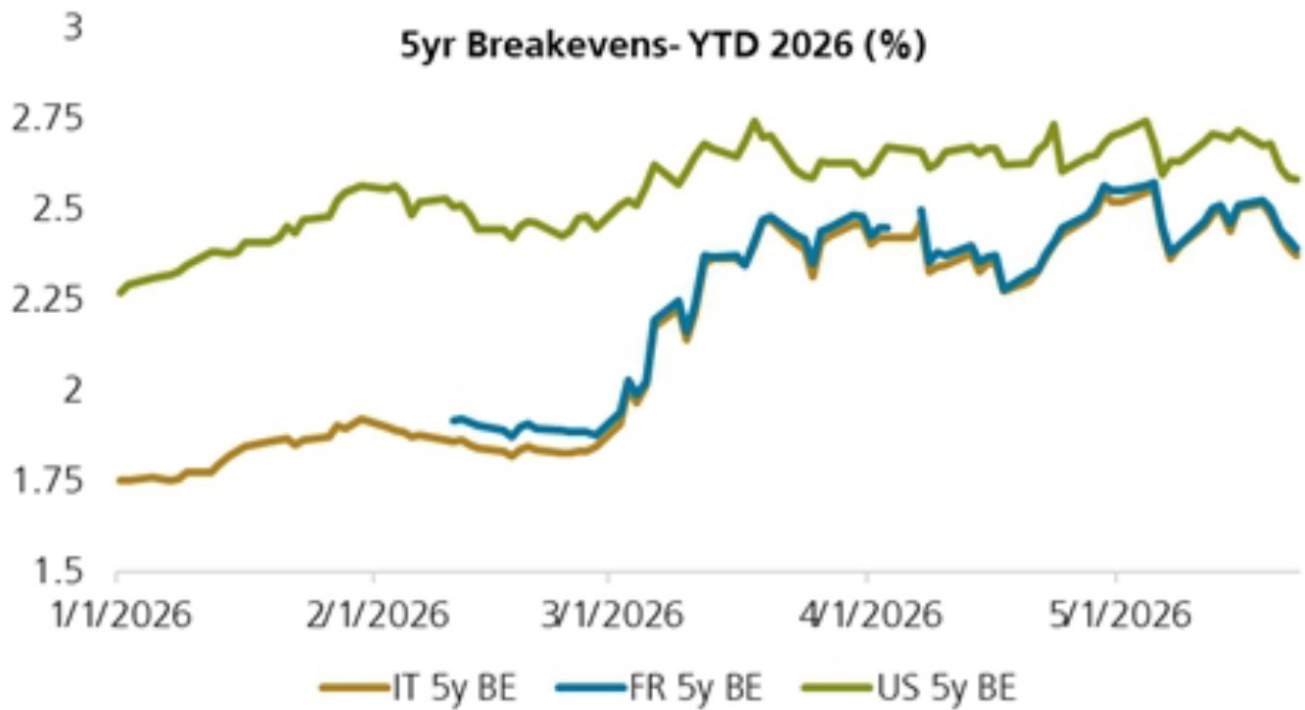
Source: Bloomberg, UBS

Figure 4: Elevated inflation prints are coming but 1y1y inflation swaps at 2.60% yoy in US and 2.16% yoy in the euro area signal that markets are not panicking. Figure shows 1y inflation swap in 1y - Euro area and US (%).



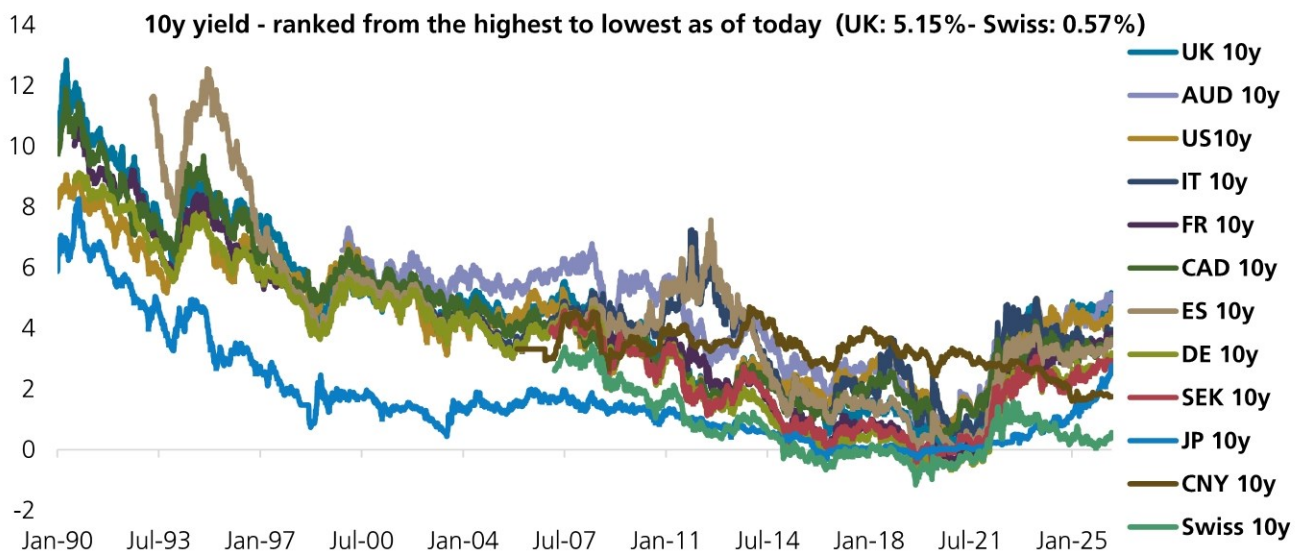
Source: Bloomberg, UBS

Figure 5: 5y inflation breakevens



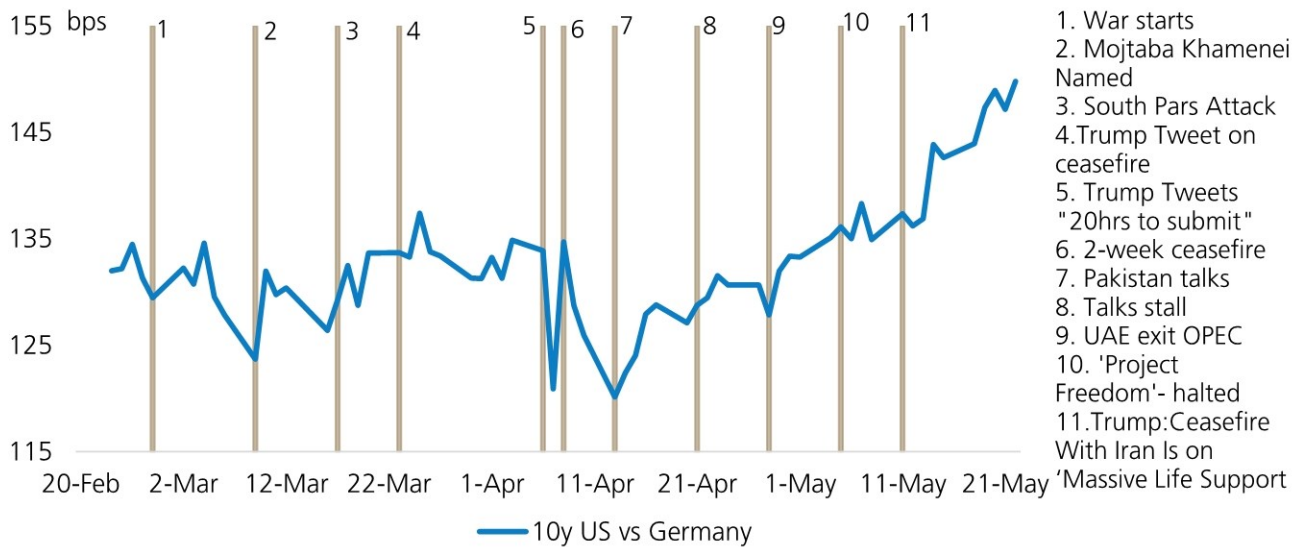
Source: Bloomberg, UBS

Figure 6: Globally traded liquid yield curves - Japan re-joins the peloton



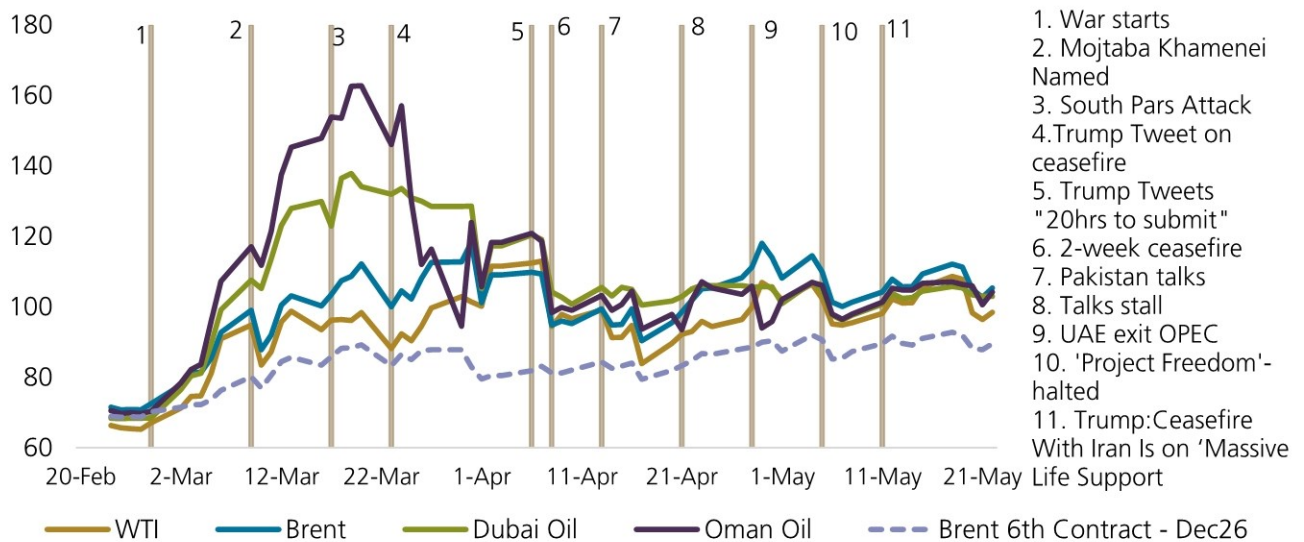
Source: Bloomberg, UBS

Figure 7: 10y US vs Germany Spread moves across the Hormuz timeline



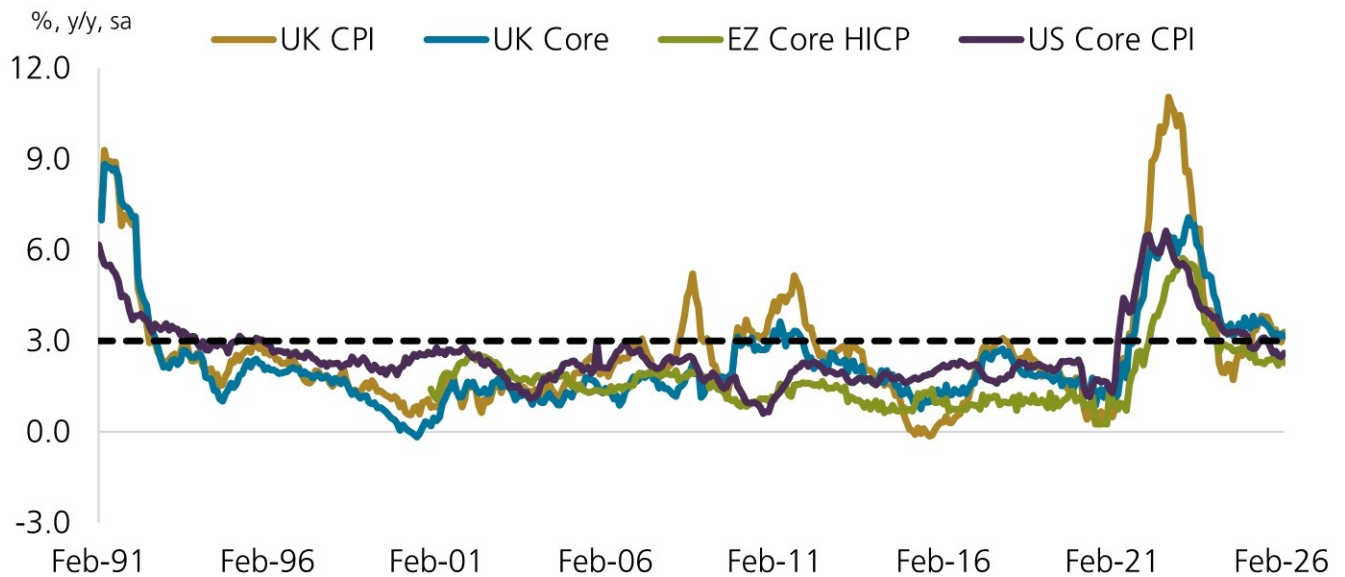
Source: Bloomberg, UBS

Figure 8: Timeline on oil pricing



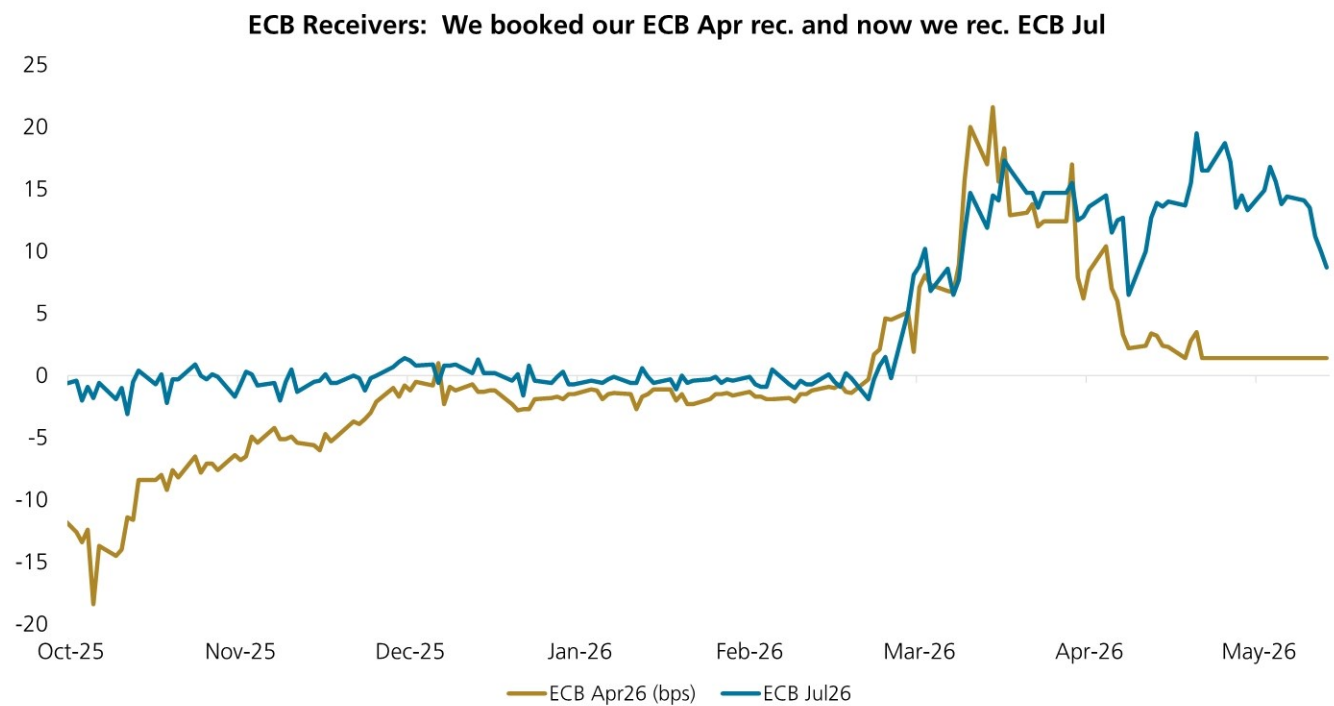
Source: Bloomberg, UBS

Figure 9: UK Inflation prints hovering around 3% mark



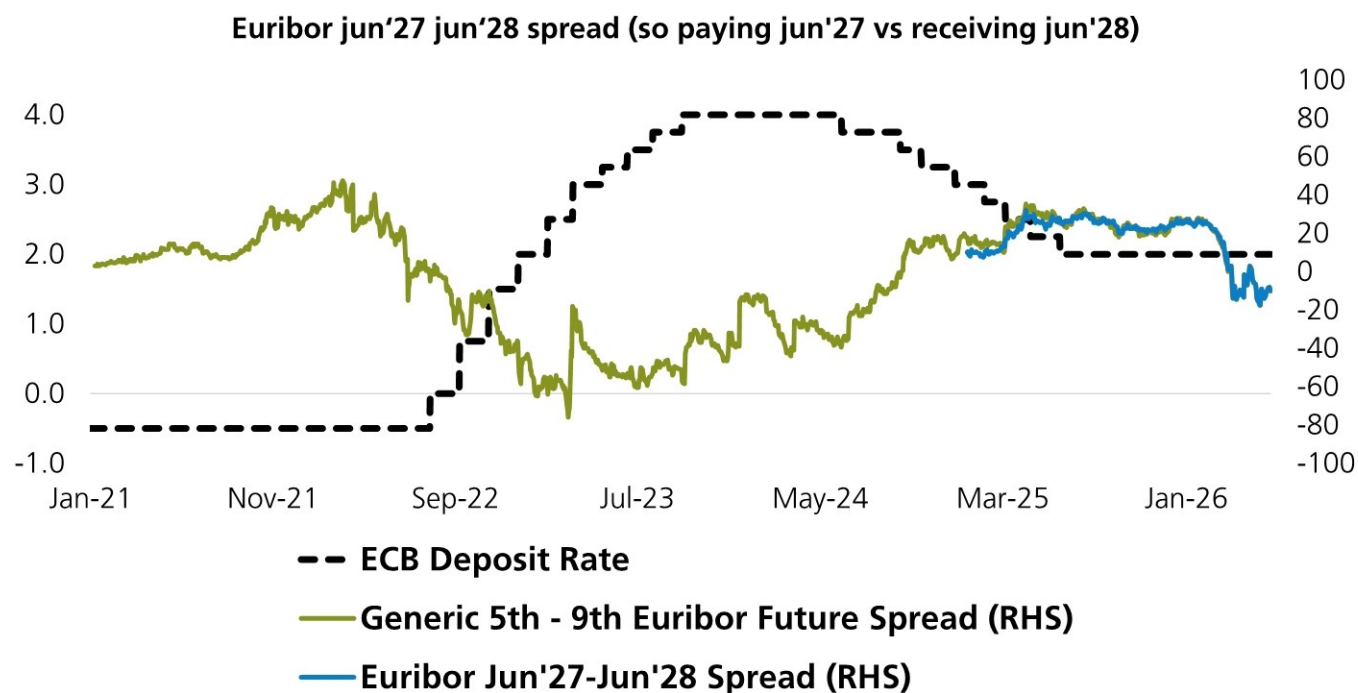
Source: Haver, UBS

Figure 10: ECB Receivers



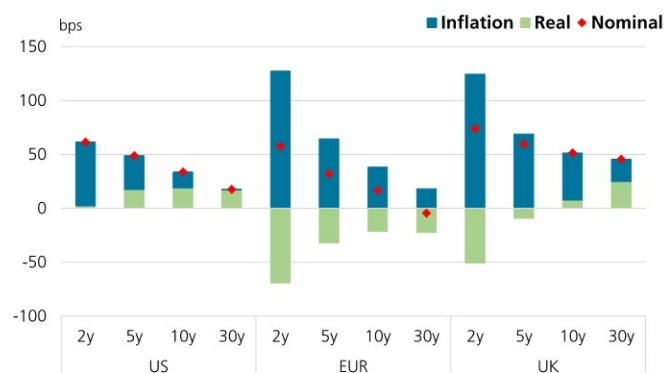
Source: Bloomberg and UBS

Figure 11: We pay June '27 ECB vs receiving June '28 ECB. We think that the EURIBOR market will continue to back load cuts in the 2y "red" segment



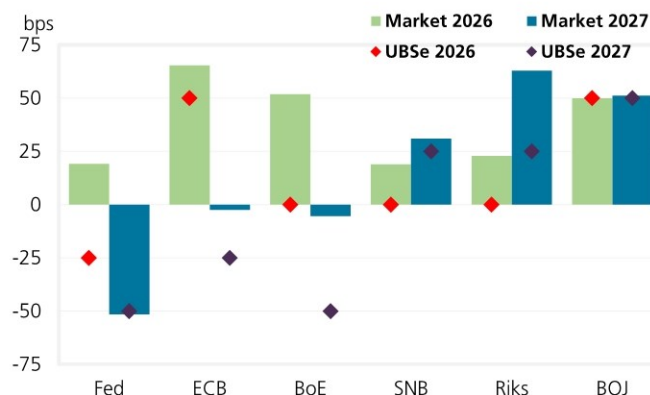
Source: Bloomberg and UBS.

Figure 12: YTD nominal and real moves



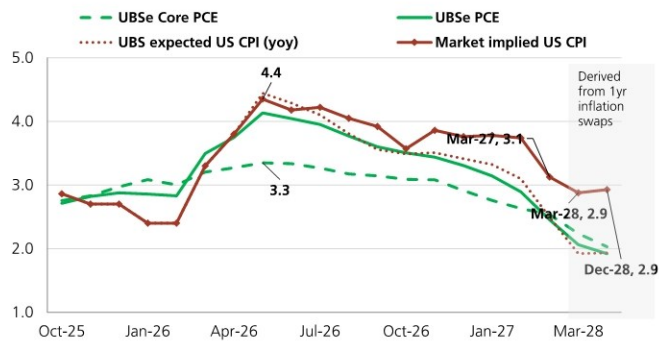
Source: Bloomberg, UBS

Figure 13: Central bank pricing - Market vs UBSe



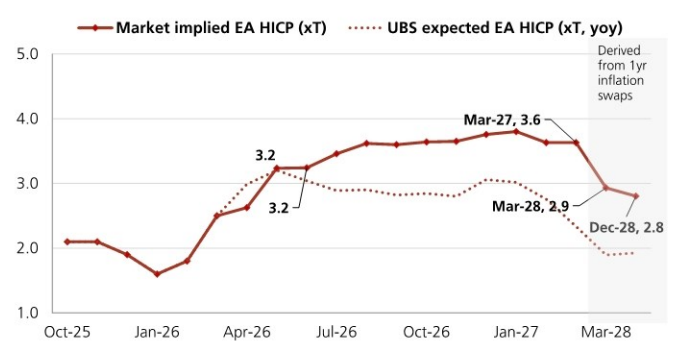
Source: Bloomberg, UBS

Figure 14: US market-based inflation expectations are expected to peak at 4.4% yoy in June '26 from 3.8% in April and 1y from now inflation (USSWIT1) is priced at 3.4%



Source: Bloomberg, UBS (incl. estimates)

Figure 15: Euro area market-based inflation peaks around Jan '27 at 4% yoy and 1y inflation expectation (EUSWI1) trades at 3.8%.



Source: Bloomberg, UBS (incl. estimates)

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